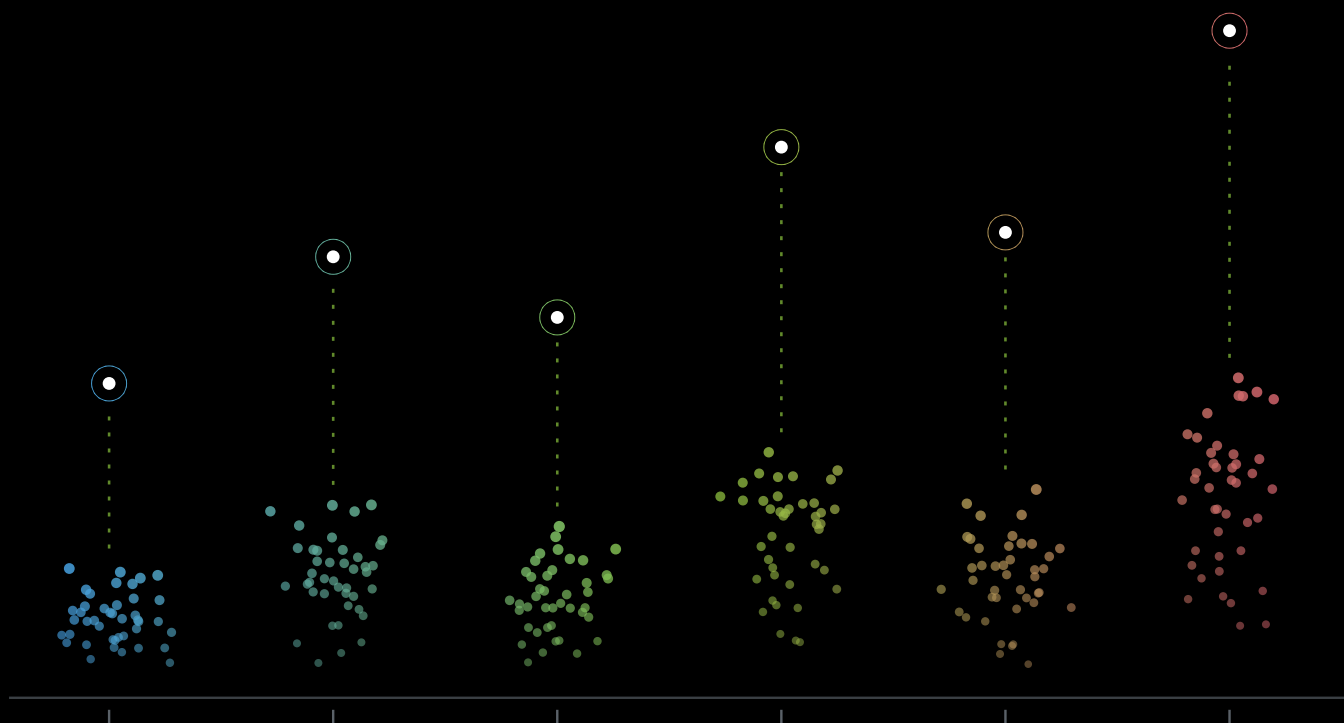




Indica

THE INFLUENCER ECONOMY

Price formation in the influence market



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Founded in 2024, INDICA is a communications and influencer-marketing agency. Through the influence market we defend science, democracy and the environment, connecting creators, data and narrative to move public opinion around what matters.

Beyond campaigns and productions, INDICA produces knowledge. This paper belongs to the agency's series The influencer economy, on how the digital influence market works, written from data and from the practice of those who operate in it. It is from that double position, running campaigns and studying them, that the analysis proposed here is formulated. The description of how this market works, from which all the studies in the series start, is found in the introduction to the series, available at agenciaindica.com/#publicacoes.

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ABSTRACT

What this paper proposes



This paper explains how prices are formed in the digital influence market. The price of sponsored content lies many orders of magnitude above its production cost and varies by orders of magnitude across similar creators. It argues that the scarce factor is attention, but that the object ceded in each association is a family of reputational stocks of the persona, namely credibility, affect and legitimacy, which free content tends to build and advertising tends to erode. Price pays mainly for access to this stock, not for the labour of producing the piece, and grows with the mass of reputation exposed, the product of the intensity of the bond and the extension of the audience. Each association carries a reputational risk premium, which can bring the price down to zero when the association enhances the creator's image. Price is bargained between a floor, formed by the creator's costs and risk, and a ceiling, given by what the advertiser can and wants to pay. Dispersion results from the lack of a valuation reference, the number of substitutes in each niche, the fit between creator and brand, and the focal position, which at the top of each niche makes price grow faster than size. The same creator charges different buyers different prices according to their ability to pay, the risk involved, the prestige the association confers, the control demanded and the use made of the content. The paper derives practical implications and propositions on how this market works.

KEYWORDS

attention economy

influence market

price formation

economic rent

reputational capital

theory of value

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SECTION 1

Introduction



There are commodities whose price bears a stable relation to the cost of producing them, and commodities in which that relation breaks down. A rare painting, a bottle of wine from a single plot or an athlete's transfer are not sold at their production cost, but for something the production function does not capture. Economic theory has lived with this gap since the controversy over the source of value, and the influence market offers a contemporary case in which it appears in extreme form.

The marginal cost of producing and distributing digital content is close to zero. Recording, editing and publishing a sponsored post is a low-cost task, repeatable with negligible additional effort. The price charged for that piece, however, lies many orders of magnitude above that cost or, in some arrangements, below zero, when the creator produces without charging or would be willing to pay to take part in an association. The distance between production cost and the price charged indicates that the price pays for something else, and the problem of this paper is to determine what it pays for and how it is formed.

The phenomenon has two features that a theory of price must explain together. The first is the level, that is, why the price stays so far above the marginal cost of production. The second is the dispersion, that is, why the price per unit of reach varies by orders of magnitude across creators with similar observable metrics. Most pricing decisions in the sector are made without a framework that organizes, in an integrated way, the object of the transaction, the origin of its value and the determinants of its level and dispersion; what circulates are rate cards, cost-per-thousand-impressions estimates and engagement rates that describe the practice without explaining it. The academic literature has studied in depth the effectiveness of influencers, that is, the effect of exposure on engagement and sales, and has models that derive their price in competitive equilibrium, but it takes the heterogeneity between creators as given and does not address the nature of the asset that accumulates or what is actually alienated in each association.

The contribution of this paper brings nine elements together in a single framework. First, the identification of the object of the transaction not as the content nor as attention, but as a family of alienable reputational stocks of the persona. Second, a two-part criterion of alienability and indispensability, which separates the object of the transaction from the factors that merely condition it. Third, the separation between the part of the price that pays for the labour of the piece, which is small, and the part that pays for access to reputation, which is dominant. Fourth, the description of how the stock is formed and eroded, which explains why the creator rations advertising and why the audience punishes above all those in transition to intensive monetization. Fifth, the determination of the magnitude of what is ceded as an absolute mass, the product of intensity and extension, and not as a proportion. Sixth, the formalization of a bidirectional reputational risk premium. Seventh, the identification of four mechanisms of price dispersion across creators, among them the price ladder that forms within each niche, and of the factors that lead the same creator to charge different buyers different prices. Eighth, the derivation of implications for those who set, negotiate and assess prices in this market, and of propositions on how this market works. Ninth, the aggregate reconciliation between the labour reading and the rent reading through the tournament entry condition, under which the rent of the winners tends to equal, in expectation, the opportunity cost of the unpaid labour of the cohort of aspirants. The paper is theoretical and stands as such: it offers an integrated explanation of the mechanism, and its practical implications follow from the form of the argument rather than from estimates. The description of how this market works, from which all

the studies in the series start, is found in the introduction to the series, available at agenciaindica.com/#publicacoes. The exposition proceeds in stages: section 2 characterizes the scarce factor and what circulates in the market; section 3 gathers the tools of the theory of price and rent and the precedent of talent markets; section 4 identifies the object of the transaction; section 5 sets out price formation; section 6 addresses dispersion; section 7 gathers the propositions that follow from the argument; section 8 draws the implications for pricing; and section 9 concludes.

SECTION 2

Attention as a scarce factor and the object of circulation



2.1 Attention as a scarce resource and content as an information good

The first task is to identify the effective constraint of the problem, that is, the scarce factor whose allocation price regulates. The founding formulation is Simon's (1971): in an information-rich environment, the resource that information consumes is the attention of its recipients, so that an abundance of information produces a scarcity of attention. The constraint shifts from the supply of the good to the capacity to absorb it. Goldhaber (1997) treated attention as the central resource of a network economy, in which the fundamentally scarce factor is no longer material capital but available attention time, and Davenport and Beck (2001) gave it the status of a manageable resource. Wu (2016) reconstructed the economic history of this arrangement and showed that, from the penny press to digital platforms, the business model repeats itself: capture attention, usually by offering content at a price of zero, and resell it to advertisers. The influencer is the most granular form of this model, and the free provision of much of their content is the technology through which they accumulate the factor they later rent out.

The reason the constraint falls on attention rather than on content lies in the properties of the information good. Shapiro and Varian (1999) characterize digital content as a non-rival good, with a marginal cost of reproduction close to zero, consumable by an indefinite number of agents without one agent's consumption reducing availability for the others. Attention has the opposite property: it is rival and finite, since each agent's time and focus are limited and cannot be allocated to two pieces of content at once. The contrast between a good in practically unlimited supply and a factor in rigid supply shifts the value from content to access to attention and removes production cost from any role in price formation, because producing an additional unit of content costs nothing, whereas capturing an additional unit of attention competes for a fixed factor.

2.2 The audience commodity and the parasocial bond

The critical tradition in communication studies named the object of this transaction before the internet. Smythe (1977, 1981) argued that advertising-funded media do not sell the programme but the audience, produced and offered as a commodity to the advertiser, and Jhally and Livant (1986) treated the audience's share of attention as an input that gains value in the process. What is transacted is access to an audience, not the content that gathers it. The bond that sustains this audience was described by Horton and Wohl (1956) as parasocial interaction, the asymmetrical relationship of familiarity that the public develops with the media figure. This bond has two properties that reappear in the analysis of risk: it forms slowly, because trust accumulates gradually, and it is destroyed quickly, because a single episode can undo it. The asymmetry between slow construction and rapid destruction is what later gives the reputational asset the structure of a position with a large potential loss and a limited potential gain. What this bond is as an economic magnitude, and what is sold from it, is the question the following sections pursue.

SECTION 3

Price, value and rent



3.1 The divergence between price and cost and the exception of scarcity

The formation of the price of a good whose value is not governed by production cost draws on the tools built by the theory of value around the divergence between price and cost. Smith (1776) distinguished value in use from value in exchange and formulated the paradox that water, of great utility, has a low price, while diamonds, of lesser direct utility, have a high one. He also distinguished the natural price, towards which market prices gravitate in the long run, from the market price, which oscillates around it according to effective demand. Ricardo (1817), a leading exponent of the labour theory of value, marked out the domain in which it does not apply: there are commodities whose value derives solely from scarcity, which labour cannot increase, and whose price is independent of the cost of production, varying with the wealth and preferences of those who want them, such as rare works and wines from limited soils. Scarcity enters as an autonomous source of value for non-reproducible goods. Ricardo also developed the theory of land rent, in which a factor in fixed supply or of unequal quality receives a payment determined by its relative position, with causality running from the price of the product to the rent, and not the other way round.

Marx (1867/1990) specified that value is measured by socially necessary labour time, the social average of the conditions of production, and not by individual effort, and in the third volume (Marx, 1894/1991) he distinguished value from the price of production, acknowledging that observed prices depart from values because of competition and the equalization of the rate of profit across sectors. The tradition of immaterial and digital labour applied this apparatus to the platform environment. Lazzarato (1996) characterized the labour that produces the informational and cultural content of the commodity and shapes preferences, Hardt (1999) the affective labour that produces bonds, Terranova (2000) the free labour that generates value in the digital economy, Kücklich (2005) the activity that is at once leisure and work, and Fuchs (2014) systematized the reading of user engagement as labour. Duffy (2017) and Abidin (2016) documented the unpaid work, oriented towards the expectation of future monetization, that sustains creators' activity. The reach of these contributions, for the problem of this paper, is specific, and two problems that are usually treated together must be separated. This literature answers how the influencer's asset, the audience and the bond, is produced and accumulated over time, largely through unpaid labour. How much a cession of this already constituted asset is worth, which is the question of this paper, is an independent problem, answered by the theory of price and rent, not by the theory of the labour that generated the asset. Bourdieu (1986) bridges the two by naming the asset as symbolic capital, accumulated recognition, convertible into economic capital at an exchange rate specific to each field. This exchange rate between symbolic and economic capital is precisely the price whose formation this paper seeks to determine, and the sponsored association is the act in which the conversion takes place.

3.2 Rent, quasi-rent and the floor–ceiling structure

The demand side entered the theory with the marginalist revolution. Menger (1871/1950), Jevons (1871) and Walras (1874), independently, began to explain value by how much each person values an additional unit of a good, which resolved Smith's paradox: water is indispensable but abundant, so each additional litre is worth little; diamonds are dispensable but rare. By the same logic, the same access to an audience may be worth more

to one advertiser than to another. Marshall (1890) brought the two sides together, the cost of producing and the value to the buyer, in the image of the two blades of a pair of scissors, and called quasi-rent the earnings of a factor whose quantity cannot be increased immediately, such as an accumulated audience, which does not grow overnight. Robinson (1933) defined rent, in general, as the payment to a factor above what it would earn in its best alternative use, a surplus that appears whenever the supply of the factor cannot grow to meet demand. The difference between the two categories is one of duration: quasi-rent disappears when supply adjusts, and rent persists because supply never fully adjusts. From this body of work comes the structure of the price of an asset whose supply cannot be expanded at will: a floor, what the holder loses by ceding it, and a ceiling, what the buyer is willing to pay, with the surplus between the two constituting the rent. It is this floor–ceiling structure that organizes section 5.

3.3 The precedent of talent markets

The tools of rent and scarcity were applied, over the twentieth century, to talent markets, which are the closest empirical precedent of the influence market and in which price formation has already been studied with data. Rosen (1981) explained the convexity of income in superstar markets through two combined mechanisms. The first is imperfect substitution on the demand side, since consumers do not substitute a larger quantity of lesser talent for superior talent, so that demand concentrates at the top. The second is economies of scale in consumption, since top talent serves an almost unlimited audience at a marginal cost close to zero, which converts concentrated demand into concentrated income. The digital platform is the pure form of this technology, and the resulting distribution of fees is long-tailed, with strong concentration at the top. Adler (1985) showed that stardom emerges even among talents of equal quality, through a dynamic of demand coordination in which consuming what others consume lowers the cost of enjoyment, making fame self-referential and path-dependent, a property grounded by the literature on informational cascades (Bikhchandani et al., 1992) and by experimental evidence on cultural markets (Salganik et al., 2006). Frank and Cook (1995) generalized the logic to markets in which rewards depend on relative performance, with a few winners capturing most of the income.

The question of who captures the rent that talent mobilizes was answered by event studies. De Vany and Walls (1999) showed that box-office revenue follows a heavy-tailed distribution, and the literature on star power concluded that stars raise expected revenue but tend to appropriate, in fees and profit participation, the rent they generate, leaving a net return close to zero for the hiring party (Elberse, 2007; Ravid, 1999). The implication for influence is that a high fee does not guarantee a positive net return for the advertiser, because the price may reflect the appropriation of rent by the talent. Hausman and Leonard (1997) estimated the value of an NBA superstar to the other teams in the league and showed that the price of talent reflects an attention externality, and Krueger (2005; see also Connolly & Krueger, 2006) documented in music the migration of income to the scarcest and least replicable asset as the price of recordings fell. Driessens (2013) treated celebrity as a form of capital, accumulated visibility, convertible into economic capital.

The rent so generated is divided by bargaining. Nash (1950) modelled the division of a surplus that only co-operation produces as a function of the threat points, so that the party with the stronger outside option captures a larger share. Caves (2000) showed that, in the creative industries, control of scarce distribution gives the intermediary bargaining power over talent. The case of influence differs from its precedents because the influencer internalizes part of distribution, by accumulating an audience of their own that is partly portable and by operating as talent, producer and channel at once, which raises their threat point. The internalization is partial, because the platform takes the place of the old intermediary and operates as a two-sided market, that is, a platform that serves two groups that value each other, here the audience and advertisers, bringing them together and capturing rent from both through algorithmic control of the distribution of visibility (Armstrong, 2006; Rochet & Tirole, 2003). The accumulated audience is a specific asset, formed by hard-to-recover investment,

which exposes it to appropriation by whoever controls the infrastructure, in the hold-up problem, in which the party that controls an indispensable resource can renegotiate the terms and capture the value of an investment already made by the other party (Klein et al., 1978).

3.4 Current formulations of the influencer's price

The recent literature has begun to model the price in the influence market directly. Cong and Li (2023) propose an equilibrium model in which the influencer is paid for their marginal contribution to industry profit, and Foerster et al. (2024) model the influencer setting the endorsement price under competition. The result of these models does not rival the rent reading: paying a factor for its marginal contribution, when the factor is in inelastic supply, is precisely rent in Robinson's sense, so that marginal contribution and rent on a scarce asset are the same magnitude seen from two sides. What these models take as exogenous is the durable heterogeneity between creators, and this durability is what the theory of the inimitable asset microfounds: a valuable, rare, inimitable and non-substitutable resource (Barney, 1991) generates rent that the entry of competitors does not dissipate, and the persona meets these criteria because it is built along a trajectory that cannot be replicated. On the empirical side, Hofstetter et al. (2024) analyse around a thousand real contracts between brands and influencers, with attention to the design of clauses and the form of payment.

Around these formulations there is a literature on effectiveness and on the value of endorsement that identifies a component of price absent from deterministic models. Effectiveness is estimated from attributes of the follower, the source and the piece (Beichert et al., 2024; Leung et al., 2022; Yang et al., 2025). The value of endorsement comes from the source credibility model (Hovland & Weiss, 1951), from its operationalization as expertise, trustworthiness and attractiveness (Ohanian, 1990), from the meaning transfer model (McCracken, 1989) and from the match-up hypothesis (Kamins, 1990). Event studies make it measurable that the association shifts value in both directions, and that the shift is recorded on the balance sheet of the hiring party: the announcement of the contract generates a positive abnormal return for the hiring firm (Agrawal & Kamakura, 1995), and the endorser's scandal generates a negative return for it, the larger the more prominent the figure (Bartz et al., 2013; Chung et al., 2013; Knittel & Stango, 2014; Louie et al., 2001). Reputation has market value, and its management is a documented part of the sector's activity (Bishop, 2021; Hund, 2023). A more recent strand addresses the erosion that advertising imposes on the creator. Cheng and Zhang (2025) showed, by comparing sponsored videos with equivalent organic ones, that sponsored posting costs the creator part of their subscriber base, an effect stronger for those with larger audiences and attenuated when the paid content resembles the usual content; Smith (2026) developed and estimated a dynamic model in which the creator chooses how much of each type of content to publish, knowing that too many recommendations erode the relationship with followers; and Li et al. (2026) showed that this relationship is not linear. These studies support with data the stock dynamics described in section 5.2. None of these literatures, however, identifies exactly what the influencer cedes when they sell, and that is the step taken in section 4.

SECTION 4

The object of the transaction: alienable reputational capital



4.1 Three readings and the criterion of alienability and indispensability

The starting question is to identify the object of the transaction, the factor whose transacted quantity price regulates. Three answers compete, and each implies a different market structure. If the object is the video, the same good is sold at very different prices depending on the buyer, each buyer being charged a price of their own, and a good whose price bears no relation to its production cost is not the object of the transaction but the material support in which it is presented. If the object is attention, the reach of a piece of content varies over a wide range and the price does not follow this variation proportionally, so that two pieces with very different reach may cost the same, which suggests that attention conditions value without being the magnitude whose quantity price measures. If the object is credibility, price behaves as in an ordinary market, in which the buyer pays roughly in proportion to the quantity acquired, because here there is a factor that is actually transferred and reduced in the seller, the trust placed by the audience, of which the influencer holds less after the association than before. This cession has a recordable counterpart on the side of the recipient: as the event studies in section 3.4 show, the announcement of the contract raises the market value of the hiring firm, the market capitalizing into the brand asset the value of the reputational mass received, net of the fee paid, so that what leaves the creator's balance sheet appears on the buyer's.

The difference between the three answers provides a criterion for separating the object of the transaction from the elements that merely condition it, in two joint requirements. The first is alienability, recognized by two associated marks: the factor is genuinely ceded by the seller, whose stock decreases, and the price varies with the quantity ceded, as in any market in which one pays for what one takes. The second is indispensability: the factor cannot be removed without the transaction ceasing to exist. Applied to the three candidates, the criterion ranks them. The production cost of the video fails indispensability, because it can fall to zero, and even change sign when the creator produces without charging because of a reputational gain, so that it is a marginal cost tending to zero. Attention fails alienability on the decisive mark, that of not being ceded by the seller, since it is the audience that spends it; the second mark, that of price not following reach, is suggestive but not conclusive on its own, because price may follow the product of intensity and extension, as section 5.3 will show, without following extension alone. Credibility meets both requirements. The object of the transaction is the factor that is, at the same time, alienated and indispensable.

4.2 The extended set of candidates and their classification

The three immediate answers do not exhaust the set of candidates, and there are other factors that meet the same criterion as credibility. Among them are affect and the parasocial bond, distinct from belief in quality; legitimacy and social sanction, the power to confer acceptability, distinct from both belief and affect; the transfer of meaning from the persona to the product; the guarantee, reputation put up as collateral for quality; curation, the selection that places the product before the relevant audience; the exclusion of competitors; conversion, the audience's propensity to buy; aspiration, the identity the consumer acquires; the audience's consent to commer-

cial exposure; and the cultural relevance of the moment. Submitted to the two requirements, these candidates fall into four categories.

Incidental cost, what can fall to zero, is the video and its labour. Condition or measure, what affects value without being ceded by the seller, is attention, which operates as the extensive measure of the market, the audience's consent, which is a precondition on the public's side, cultural relevance, which is a temporal circumstance, and exclusivity, which is not a new factor being sold but a contractual clause on the factor ceded. Use value for the buyer, what is realized as a benefit on the advertiser's side and not as something ceded by the seller, is conversion, which neither resides in the influencer nor diminishes in them, and aspiration, which is an attribute the end consumer comes to hold. Object of the transaction, what is alienated and indispensable, is credibility, and with it affect, a finite stock consumed in the association and reduced when the creator advertises something that contradicts the bond, and legitimacy, a status capital diluted when lent to too many brands or to incompatible ones. Of the remaining candidates, the transfer of meaning is not a fourth stock but the name of the operation that the cession performs, the movement by which what is ceded is incorporated into the product, an act and not an object; the guarantee is the form credibility takes when put up as collateral, a way of using the same stock, not a separate factor; and curation is a service, paid together with the labour of the piece, in the part of the price described in section 5.1, and a condition of the pair-specific value discussed in section 6.3, which is neither ceded nor diminished by use.

4.3 The family of reputational stocks and the matrix stock

The object of the transaction is therefore not credibility in isolation but a family of alienable stocks of the persona, of which credibility is the most cleanly identified case. The proof that they are distinct factors, and not names for a single factor, is that they vary independently. There is the influencer who is believed without affect, the specialist whose assessment carries weight but who does not inspire a bond; there is the one who is loved without being believed on technical matters, the figure whose charisma converts; and there is the one whose endorsement confers legitimacy without mediating technical belief or affect, the status authority whose use of a brand positions it. What unifies the three is a single economic structure: they are finite balances of the persona, accumulated with time and coherence, spent when lent to a brand, subject to exhaustion if lent too often or to brands that depreciate them, and whose destruction extinguishes the transaction. This common structure, that of an exhaustible and alienable reputational capital, is the object of the transaction, and credibility, affect and legitimacy are the modes this capital takes depending on whether the axis is belief in quality, the bond or belonging. Behind the three lies a matrix stock, the coherence of meaning and identity of the persona, of which each mode is a specification. This matrix stock may reside in a personal persona or in a content brand detachable from the individual, such as a faceless themed account or a channel run by a team, and the inimitability of the asset, which sustains the rent, is greater the more it depends on an unrepeatable personal trajectory, and smaller the more it resides in a brand that can be recreated or transferred. The dominant mode varies with the type of creator, credibility prevailing in the technical reviewer, affect in the intimacy creator and legitimacy in the prestige figure, and the general case is a composition of the three. The influencer therefore holds a reputational stock, and what the transaction sells is access to it. Attention, the scarce factor of section 2, is what this stock yields when accessed, not what is ceded: it is the creator who mobilizes it, because they hold the stock, but what they have to alienate is a portion of the stock, not the yield the audience delivers.

4.4 When the object exceeds the post, and the form of payment

The object of the transaction, defined so far as access to the reputational holding through a piece, can be extended by contract beyond the post. When the brand acquires the right to boost the content as its own paid media,

a practice known as whitelisting, or to license the creator's image for use in other pieces and for an extended period, it buys not a one-off exposure but the continued use of the reputational capital, and this extended use is priced separately, scaled by the breadth of channels and the duration of the licence. Exclusivity works in the opposite direction, removing the creator's right to cede the same capital to competitors during a window, so that the price incorporates the revenue forgone in the blocked partnerships, proportional to the duration and breadth of the clause. In both cases, what varies is the temporal and contractual extent of the cession of the same asset, not the piece itself.

The form of payment also changes what is transacted. A considerable share of partnerships is not paid in money but in product, barter, affiliate commission or equity. Payment by performance or by affiliation transfers to the creator the risk of the campaign's result, previously borne by the advertiser, which leads the creator to demand more to compensate for the uncertainty. Payment in product is anchored in the retail price, which differs from the value of the piece, and equity, illiquid and without an observable price, tends to be discounted. Price, therefore, is not always a cash fee, and comparing proposals requires reducing heterogeneous forms of payment to an equivalent, an operation that the heterogeneity itself makes difficult and that contributes to the opacity discussed in section 6. There is, moreover, a continuum between buying reputation and buying media or production, since in pure performance campaigns, in which the brand pays per click or sale and treats the creator as a substitutable channel, the ceiling does not come from the credibility ceded but from the return on media investment, and this paper describes the reputational pole of that continuum.

SECTION 5

Price formation

This section turns what has been established into an articulated account of price formation, in the order in which the reckoning is made: what access to the asset yields, how the stock is formed and spent, how much of it each access commits, the risk the holder prices, the accounts of the holder and of the buyer and the division between them, and the consolidation with its consequences. The formalization is light and serves only to illustrate the reasoning: credibility, affect and legitimacy are not measured in units, and the magnitudes that follow, the stock, the intensity, the mass, are names that discipline the story, not directly observable quantities; what is observed are their traces, engagement, refusals, prices. The discussion treats reputational capital as an aggregate stock, denoted by its level and by its intensity per relationship, and describes the price of an association as a rent located between a floor and a ceiling. Figure 1 summarizes the model, and the complete notation is gathered in Appendix A.

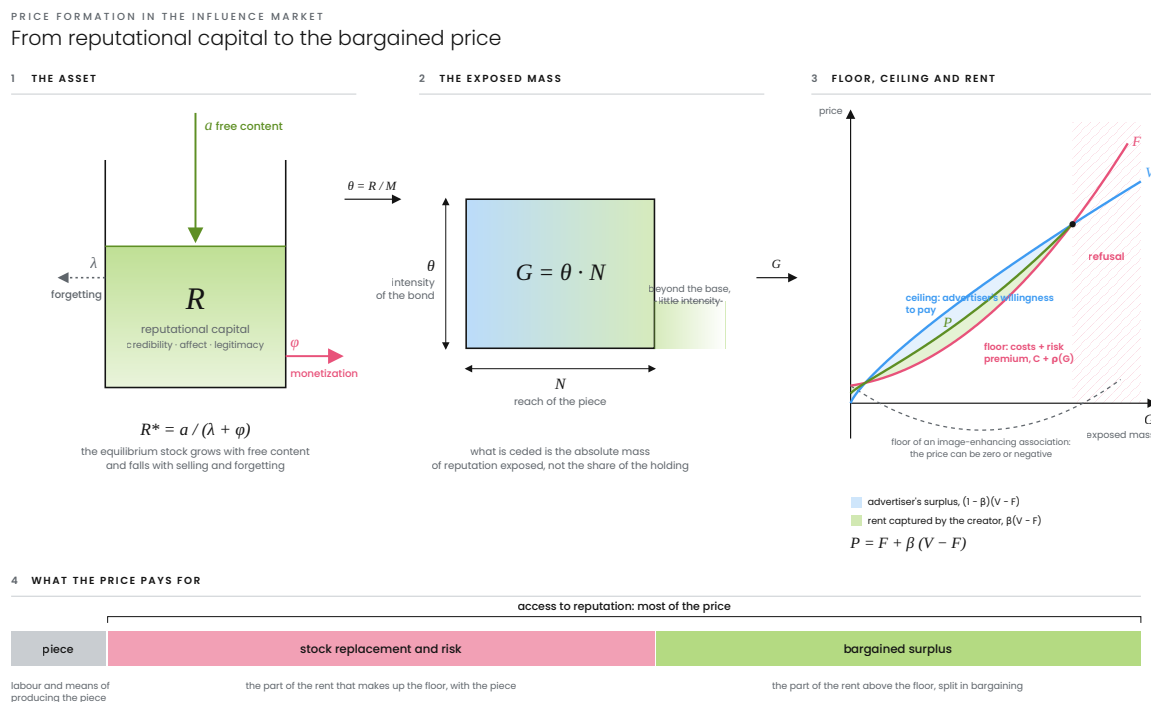


Figure 1. Price formation in the influence market. The curves are illustrative: their shape follows the model, but the values are not estimated. Source: prepared by the author.

5.1 What the price pays for

The first step is to separate what the price pays for. One part pays for the labour and means of producing the piece: script, filming, editing, equipment. This part is small and tends to shrink, because these tasks can be hired from many suppliers and the technology that performs them becomes cheaper every year. The other part pays

for access to the creator's reputation, which cannot be hired from third parties or produced to order, and it accounts for almost the entire price. This second part is called rent here, in the sense economic theory gives to the payment made to whoever controls something scarce and non-reproducible, and not in the colloquial sense of revenue. Two clarifications fix its scope. The labour of the piece must be measured by the market price of the tasks, not by the value of the creator's time, which is high precisely because of reputation and would thus be counted twice. And rent so defined is not entirely surplus: since reputation is spent when ceded, part of what is paid for it merely replaces what the piece consumes and remunerates the risk of ceding it, and only what lies above this, in the negotiation described in section 5.5, is surplus in the strict sense. The puzzle of the price detached from cost dissolves at this point: competition compresses the part that pays for the labour of the piece, and what remains, and dominates, is the payment for access to reputation. The rest of the section deals with how this payment is determined.

5.2 How the stock is formed and eroded

The reputation that is ceded must first be built, and its balance follows a tendency, not a mechanical rule. The content the creator publishes without charging tends to feed it. Advertising tends to erode it, because an audience that recognizes the intent to sell reprocesses the message and discounts it (Friestad & Wright, 1994), which can be seen in the lower engagement of paid pieces relative to the same creator's organic ones and in the loss of followers that Cheng and Zhang (2025) measured after sponsored posts. And the mere passage of time wears it down, because reputation that is not renewed loses relevance. With R the stock, a the flow of unpaid content, φ the rate of erosion imposed by advertising and λ the rate of forgetting, the change in the stock over time can be written, in stylized form, as

$$dR/dt = a - (\lambda + \varphi) \cdot R \quad (1)$$

and the stock stabilizes when what comes in equals what goes out:

$$R^* = a / (\lambda + \varphi) \quad (2)$$

The equilibrium stock grows with free content and falls with selling and with forgetting. Erosion from advertising is treated as proportional to the stock itself because each paid piece spends a fraction of the trust the creator holds, and whoever has accumulated nothing has nothing to spend. Three consequences follow. Free content is an investment in building the asset, not a sunk cost, and the creator who stops publishing it sees the stock wither until there is nothing left to sell. The relevant cost of an association is not that of producing the piece, close to zero, but the erosion it imposes on the stock, and it is this erosion that the price must cover. And the creator with the larger stock, with more to lose, tends to sell less and at a higher price, which is consistent with the greater erosion Cheng and Zhang (2025) found among creators with larger audiences, the refusal of high-risk associations being the extreme expression of this tendency. In decline, when the stock depreciates quickly, the creator tends to liquidate the asset and accept lower prices, and prices rise more easily than they fall.

The relationship between the amount of advertising and erosion, however, is not linear. Li et al. (2026), analysing thousands of creators on two platforms and confirming the result in experiments, found a U-shaped relationship between the share of a creator's content that is sponsored and the engagement of their paid pieces: the audience's response is worse for creators who are halfway there, with an intermediate share of advertising, than for those who hardly advertise or who advertise a great deal. Two forces explain the shape. As the share grows, so does the suspicion that the creator speaks for money, but this suspicion rises quickly at first and then levels off, when the audience comes to treat the creator as a professional endorser, whose commercial role is expected and accepted. At the same time, a lot of advertising signals that the market recognizes the creator, and this re-

cognition weighs more and more. Erosion is also smaller when the paid piece deals with a type of product the creator already talked about spontaneously.

It follows that there are two sustainable positions, not one. The creator can keep advertising rare, preserving the image of someone who speaks out of conviction and charging dearly for each exception, or take on the role of professional endorser, with an audience that accepts advertising as part of the pact. What tends to cost the most is the transition between the two, the period in which the audience perceives the change and has not yet accepted it. Rather than a single optimal point of monetization, what the dynamics describe is the reason for caution: beyond a certain limit, the gain from charging one more time tends not to make up for what it costs in reputation, and this limit depends on the pact the creator has with their audience.

5.3 The gross magnitude: intensity and extension

The next question is how much of the asset each access commits. Rent pays for the transacted quantity of the object of the transaction, and this quantity is the absolute mass of reputational capital spent, not the fraction of the stock consumed. With $M(t)$ the size of the creator's audience base, the intensity of the stock per relationship is defined as

$$\theta(t) = R(t) / M(t) \quad (3)$$

where $\theta(t)$ is the intensity of the stock per relationship, that is, how much reputation the creator carries per follower,

and the reputational mass exposed by a piece i with reach N as the product of intensity and extension,

$$G_i = \theta(t) \cdot N_i \quad (4)$$

where N_i is the reach of the piece, that is, the number of relationships actually exposed, and G_i the gross mass of reputation spent.

Equation (4) formalizes why the creator with greater reach charges more. The same act of endorsement, transmitted to a larger number of relationships, alienates a larger absolute mass of reputation, even if the intensity θ is similar and the fraction G over R is even smaller for a large holding. An example makes the distinction concrete: two creators with the same intensity of bond per follower, one with ten times the audience of the other, expose in each piece, with reach proportional to the base, masses of reputation in a ratio of ten to one, which are the same fraction of holdings of very different sizes; and since reach per piece typically grows less than the base, the fraction exposed by the large creator tends in practice to be even smaller. What the advertiser buys, and the main component of what the creator risks, is this absolute quantity of reputation put into play, rather than how much it weighs in the creator's holding. Price tends to follow the gross mass G closely, and the proportion G over R weighs in a secondary, though not negligible, way, above all in the creator's caution. The evidence that the damage from a scandal grows with the prominence of the figure is consistent with this reading, insofar as what is exposed is an absolute magnitude. Attention re-enters here not as the object of the transaction but as the extension N over which the intensity θ is spent. Accumulated extension, however, differs from transient attention. Strictly, the reach N in equation (4) counts relationships that carry the intensity θ , and reach that exceeds the base, reaching contacts without a bond, carries an intensity close to zero, so that the exposed mass grows less than proportionally with viral reach and the formula overstates it when N approaches or exceeds M . A viral spike momentarily raises reach and, with it, the ceiling, without corresponding to an accumulated stock of trust, so that the price that results from it is unstable and tends to revert when attention disperses.

5.4 The bidirectional reputational risk premium

Each association changes the value of the stock, and the price incorporates a premium on this expected change. With δ the expected effect of the association with advertiser j on reputation, per unit of mass, σ^2 the uncertainty about this effect and γ how much the creator avoids risk, the reputational risk premium of the association between creator i and advertiser j is

$$\rho_{ij} = \delta_j \cdot G_i + (\gamma / 2) \cdot \sigma_j^2 \cdot G_i^2 \quad (5)$$

where δ_j is positive when the association degrades the image and negative when it enhances it, a convention adopted because the premium is, above all, compensation for an expected loss, so that damage enters with a positive sign and gain, as a discount, with a negative sign.

Equation (5) has two parts. The first is the expected loss or gain of reputation, proportional to the average effect of the association and to the mass exposed. The second is the price of uncertainty: whoever does not know how an association will play out charges more to take it on, in proportion to this uncertainty and to how much they avoid risk, measured by γ . Mass enters squared in this part because a scandal does not hit followers one by one, independently, but all at once. This is why risk weighs relatively more on large creators, which explains both their greater selectivity and the protective clauses that appear in real contracts (Hofstetter et al., 2024). A new brand with no track record, whose effect on the creator's image is unpredictable, may demand a larger premium than a well-known brand with a bad but predictable effect, because what is paid for in the first case is uncertainty, and not only the average loss. When the association enhances the image, the average effect is negative and the premium becomes a discount, which can bring the price down to zero or below; the uncertainty part, however, tends to erode this discount for very large creators when the outcome is doubtful. The free post for a prestigious cause and the high fee for a risky brand are thus the same pricing operation, with opposite signs. Since reputation is built slowly and lost quickly, the risk of loss weighs more than the chance of gain, which makes the creator conservative and makes refusal the most common response to high-risk associations. This conservatism is not a trait of temperament. For someone whose persona holds almost all of their wealth, with no way of diversifying or insuring it, avoiding risk is a constraint, not a preference. And since damage is hard to reverse and uncertainty about the advertiser decreases over time, waiting has value: refusing today preserves the possibility of accepting tomorrow with more information, whereas accepting cannot be undone. The same logic explains why prices rise more easily than they fall: lowering the price sets a precedent and signals decline, and the creator prefers not to sell rather than to sell cheaply.

5.5 Floor, ceiling and the bargained rent

The realized price is formed between two poles, what the holder needs to protect and what the buyer is willing to pay. The floor is the creator's reservation price, made up of the opportunity cost C of filling with advertising a slot that could go to content that accumulates the asset, plus the risk premium p :

$$F_{ij} = C_i + \rho_{ij} \quad (6)$$

where F_{ij} is the reservation price, which may be zero or negative when ρ_{ij} is sufficiently negative.

The opportunity cost C that makes up the floor is not limited to the content slot forgone. It aggregates several costs that apply even when the risk premium is zero or negative, which explains why a harmless association, or even one beneficial to the image, may be refused. The labour of producing the piece, small as a fraction of a high fee, is a floor that becomes decisive at the limit of gratuity, where there is no revenue to cover it. The coherence cost arises because departing from the standard content dilutes the creator's signal and niche position, eroding the asset regardless of the valence of the brand. The capacity cost reflects that content slots are finite,

so that each paid piece displaces a piece that would nourish the stock, and the opportunity cost per slot is greater the more productive the creator's organic content, which reappears as the limit on the volume of advertising discussed in section 5.2. The precedent cost arises because a low or zero price anchors future prices and reveals willingness, so that the floor of a cheap deal incorporates the expected fall in subsequent prices. To these are added non-reputational risk costs, such as legal and regulatory liability, higher in regulated sectors, and the default risk of a client with no track record. Symmetrically to the precedent cost, the floor is also forward-looking in the opposite direction, since the creator may accept an amount below it when the association works as a credential that raises their future prices, in which case the expected future gain enters the floor with a negative sign. The floor is forward-looking in yet a third direction, which does not go through the audience. The stock has two registers: one with the public, which sustains persuasion, and another with the advertising market, which sustains future demand, because each association enters the creator's visible portfolio and can be read by subsequent buyers as a signal of their type and bracket. An association can thus leave the first register intact and depreciate the second, shifting the distribution of the ceilings that will arrive later, and this portfolio cost, the expected loss in future demand, enters the floor as precedent does, even when the effect on the bond with the audience is nil. The transfer of meaning that underpins endorsement runs both ways, and the meaning of the hiring brand is also deposited in the persona.

There are also constraints that do not shift the floor but make it prohibitive, producing refusal whatever the price. Conflict with the creator's own monetization, when the brand competes with one of the creator's products, is one. Refusal out of conviction, when the creator will not associate their name with something they reject even if no one were watching, is another, and it differs from image calculation in that it persists even in an association the audience would not see. Refusal, in the case of a prohibitive risk premium and in that of conflict with one's own monetization, can be read as the reservation price raised to a level no willingness to pay reaches; refusal out of conviction, by contrast, operates outside the price calculation, as a prior constraint.

The ceiling is the advertiser's willingness to pay, V , that is, the value they expect to obtain from access to that audience, and it increases in the same mass G that sizes the premium in the floor: what the advertiser buys is persuasion, and the persuasion delivered grows with the intensity of the bond and with the extension reached, as the source credibility literature in section 3.4 establishes, so that the stock raises the price from both sides, as value delivered in the ceiling and as mass at risk in the floor. This value depends, besides mass, on the commercial value of the audience, that is, its purchasing power and propensity to act, a dimension distinct from the intensity of the bond, on the fit between persona and brand, and it is net of the audience's reaction to the advertisement. Hence the ceiling may diverge from the reputational mass ceded: an audience with a strong bond but without the means or intention to buy, or averse to advertising, imposes a low ceiling, and the price stays low despite the large stock exposed, whereas a small audience of high commercial value sustains a high ceiling. This value is realized, on the buyer's side, in sales and in brand strengthening, and it is limited by the buyer's budget, so that two buyers who value the same association equally may have very different ceilings. The money comes out of what the advertiser spends to sell its commodity, and the creator captures part of this spending because they control a condition of the sale, credible access to an audience. The realized price is the rent bargained between floor and ceiling, with its position in the interval determined by the creator's bargaining power, β :

$$P_{ij} = F_{ij} + \beta \cdot (V_{ij} - F_{ij}), \text{ with } P_{ij} \geq F_{ij} \quad (7)$$

where β , between 0 and 1, is the share of the surplus the creator manages to capture, greater when they have alternatives, such as taking the audience to a channel of their own, and smaller when the audience exists only within a platform.

Equation (7) brings together both sides of the market. The floor carries the creator's costs and the risk they take on; the ceiling, the value the advertiser expects to obtain; and the surplus between the two, of which the creator captures the share β , is rent in the strict sense, because the floor already recovers the labour of the

piece, the replacement of the stock consumed and the price of risk. The share β follows the logic of Nash bargaining (Nash, 1950): each party captures a share of the surplus that is larger the better its alternative should the deal not go through. The creator's alternative improves when they can take the audience to a channel of their own and negotiate directly with the brand, and worsens when the audience exists only within a platform and does not migrate with them, a condition that allows the platform to capture part of the value the creator invested, in what is known as the hold-up problem (Klein et al., 1978). The strongest alternative of a creator with a large stock, however, is not another advertiser but themselves: the reputation they would cede for a fee can sustain a product of their own, and each endorsement of third parties cannibalizes that future extension to some extent, which raises the floor and the bargaining power of creators with their own line. The ultimate determinant of price remains the reputation ceded, with the value to the advertiser setting the upper limit and the creator's costs, plus the risk premium, setting the lower one.

The share β also depends on which side is scarce. In most negotiations, the scarce side is the creator: many advertisers compete for a few personas with the audience they want, and the power lies with the seller. There are cases, however, in which scarcity changes sides. When the buyer is a highly prestigious organization, whose association works as a credential, many creators compete for the opportunity to be chosen, and bargaining power passes to the buyer. Added to the discount in the risk premium and to the future gain the credential promises, which enters the floor with a negative sign, this explains why certain organizations obtain content for free, or nearly so. A less well-known public-interest organization offers no credential and faces no such competition: the floor moves back towards the costs of the piece and the erosion, reduced only by the creator's affinity with the cause and by the fact that the creator charges less to those who can pay less, and the price, though low, is no longer zero.

5.6 What the model predicts

Taken together, equations (3) to (7) recover the qualitative results of the previous sections. Price grows with the reputational stock through two channels: a larger R raises the intensity θ and, with it, the exposed mass G , which increases both the persuasion bought, raising the ceiling, and the risk premium, raising the floor, and the same holds for reach N , which reproduces the dependence of the level on the gross mass rather than on the proportion. The ceiling channel is not incidental: without it, in an association that enhances the image, with a negative average effect, a larger stock would lower the floor without raising the ceiling, and the model would predict a price decreasing in reputation precisely in prestige deals, contrary to what is observed; with willingness to pay increasing in mass, the positive relationship between stock and price holds in both classes of association. Since mass enters squared in equation (5), the premium grows more than proportionally with mass, and risk weighs relatively more on large creators.

Price grows with the expected reputational effect of the association: associations that threaten the image, with a positive average effect, raise the premium and the floor, whereas associations that enhance the image, with a negative average effect, lower the floor and can make the price zero or negative, which orders associations from gratuity for prestigious causes to high fees for risky brands. Price grows with the uncertainty about the reputational effect, so that uncertainty, and not only the average, is priced. Price grows with willingness to pay and with bargaining power, approaching the ceiling as β grows, which links the share captured by the creator to the alternatives they have.

SECTION 6

Price dispersion



The level of the price and its composition in rent explain why the price stays above production cost, but not why it varies by orders of magnitude across creators with similar observable metrics. Dispersion has sources of its own, and at least four mechanisms, not reducible to one another, produce it.

6.1 The lack of a valuation reference

Reputational capital has no defined replacement cost, because an audience and the trust that sustains it cannot be bought back at a calculable price, nor does it have a secondary market, because the persona as a rule cannot be traded separately from its holder. The three usual methods of valuing an asset therefore fail: by the cost of replacing it, by comparison with similar assets, and by an estimate of what it will yield in the future, the last because those yields are too uncertain. Without a reference, each creator sets their minimum price on the basis of their own beliefs, under an uncertainty that cannot be calculated in probabilities, in Knight's (1921) sense, and different beliefs about similar assets produce very different prices. This is what distinguishes the influence market from talent markets in which measured performance provides a reference, such as that of athletes.

6.2 The niche and the lack of substitutes

The persona defines the audience the creator gathers, and this defines how many competitors they have. A creator in a narrow niche faces advertisers with few alternatives for reaching that specific audience, who therefore react little to price; a creator in a broad niche faces advertisers who can easily swap them for someone else. Whoever sells something with few substitutes can charge more above cost, which is why the narrow-niche creator charges more per person reached, not because they deliver more value per contact, but because they have fewer competitors. There is a difference here from the practice, common in other markets, of charging different prices to different groups of buyers: there, the groups are given from outside; here, it is the creator who chooses their niche, their tone and their audience, and thereby chooses the competition they will face. The number of substitutes depends on two things: how specific the audience is and how many other creators reach a similar audience, because the advertiser can combine several smaller creators or swap one for another. A creator's rent is thus smaller the more their audience overlaps with that of cheaper alternatives, even if their bond is intense. The scarcity of creators in a niche does not increase the value of access for the advertiser. What it changes is the practical limit of what the advertiser will pay, which is the lower of that value and the cost of the best alternative: with plentiful alternatives, it is the alternative that holds the price down; without them, the price can rise to near the value access has for the buyer. The price rises, then, without access having become more valuable.

Hence the relevant market for each creator is not the whole influence market but their niche. A creator competes with all the others only insofar as the advertiser buys reach, that is, when any audience of similar size will do; in that case competition is broad, the reference becomes the cost per view and the price approaches that of any media. When the advertiser buys credibility with a specific audience, competition narrows to the few creators who have it, and the price is formed within the niche, among them. What the brand intends to buy thus defines whom the creator competes with. And since each niche has its own supply of creators and its own de-

mand from advertisers, prices adjust within it, and whole niches sit at very different levels: those with audiences of high purchasing power, expensive purchase decisions and few creators tend towards high prices, and saturated ones, with broad audiences and many similar creators, tend towards prices close to the media reference. Two creators of the same size can therefore charge very different amounts to the same advertiser: one is being bought as reach, in a broad market, and the other as credibility, in a niche in which they have few competitors.

6.3 The fit between creator and brand

The value of an association depends on the fit between persona and brand, and so each combination of creator and advertiser generates a value of its own. The same creator charges very different amounts to brands of equal size, and the same brand pays different amounts to creators of equal reach, because what each combination yields is different. Dispersion between similar transactions is not, on this reading, inefficiency or noise, but the signal of these specific combinations, and since an endorsement cannot be resold or divided, no one can buy cheaply on one side and resell dearly on the other, which would equalize prices.

6.4 The focal position and the niche leader

In each niche, attention and the coordination of demand tend to converge on one or a few focal points, and the occupant of that position earns a coordination rent derived from local network effects. The mechanism is that of a coordination equilibrium: each advertiser wants to be where the other advertisers are and each member of the audience wants to be where the niche's conversation happens, an expectation that fulfils itself and elects a centre, even if another equally capable creator could have taken the place. Since the value derives from the position and not from the person's attributes, this rent belongs to the position and is transferred discontinuously when another creator comes to occupy the focal point, unlike individual reputation, which stays with its holder. Hence an observable consequence: focal rent can migrate from one creator to another without either having become more or less reputable, simply because the niche's centre of coordination has shifted.

The focal position also shapes the price ladder within each niche. The creator at the top has no one above them to serve as an alternative for the advertiser, and so their price is not limited by the prices of others, but only by how much the buyer values being with the first rather than the second. Creators in the middle face the opposite situation, pressed from above by the leader, the natural choice for those who can pay, and from below by the many who offer something similar for less. The result is that, at the top of each niche, price grows much faster than size: the leader charges not in proportion to their advantage over the second, but in proportion to the value the buyer attaches to that advantage, which reproduces within each niche the logic of the superstar markets described by Rosen (1981). It is also what Marx (1894/1991) called a monopoly price, a price determined only by the buyers' eagerness to buy and ability to pay, and not by the cost of producing what is sold. The leader of a niche is in that position. The four mechanisms add to the heterogeneity in the size and quality of the stock to generate the observed dispersion, and none of them can be reduced to a simple difference in reach.

6.5 The opaque transmission of price

The price formation described so far assumes a direct negotiation between creator and advertiser, but the real chain places between the two ends at least three agents with objective functions of their own, the creator's agency, the advertiser's media agency and the platform, in addition to a falsifiable apparatus of metrics, and each layer distorts the price and obscures the reputational signal it contains. The creator's agency is paid a share of the fee and therefore maximizes the fee weighted by the client's willingness to pay, whereas the depreciation of the creator's reputational stock is an externality that falls on the creator, not on the agency. The result is a

principal-agent problem with misaligned objectives, in which the agency tends to favour high-fee deals even when they are reputationally damaging, because damaging content that pays more maximizes its share. The misalignment runs deeper than this bias, and its principle is one of truncation: the agency values the stock only as a generator of commissionable fees within the window of the relationship, and every component of the stock's value that does not turn into fees within that window, the extension into a brand of one's own, later uses, the equity of the persona itself, is an externality to it. Two symmetrical and conditional distortions follow. The low, zero or negative-price association that builds the stock, rational for the creator when the reputational gain exceeds the cost, is structurally invisible to whoever is paid a share of the price, because a share of zero is zero, so that the intermediary can act as a barrier precisely in the class of transactions that section 5.4 predicts at non-positive prices; and a high-fee, high-erosion deal may be ranked by the agency above a low-fee deal that enhances the stock, reversing the holder's ranking. The distortion is limited by horizon and portfolio: an agency with a long relationship internalizes part of the depreciation, because it burns its own commission base, but internalizes only the share of the stock's value that turns into fees while the contract lasts, and, being able to replace creators in its portfolio, treats each stock as more disposable than its owner does.

On the advertiser's side, the media agency is paid as a share of the investment, so its incentive is not to minimize the price but to sustain the budget that justifies it. When commissions on both sides grow with the fee, none of the intermediaries who actually negotiate has a strong interest in compressing it, and the combined bias is inflationary. This misalignment is distinct from double marginalization, in which each link adds its margin to a given price, raising what the advertiser pays and reducing the creator's net; here it is the negotiated price itself that moves upwards and away from the underlying reputational value, and undisclosed volume rebates add a layer the end advertiser does not observe.

The platform is the third intermediary, and the quietest. By algorithmically controlling distribution, it regulates how much of the accumulated audience the creator reaches without paying, and the compression of organic reach converts part of the creator's rent into media revenue for the platform itself, which resells, as boosting, the access the holding would achieve on its own. This is the hold-up of section 3.3 exercised in the form of price: no contract is renegotiated, only a reach parameter is shifted, and the creator, whose asset is specific to the infrastructure, absorbs the loss; the whitelisting of section 4.4 is the case in which this sale of reach becomes explicit. For the signal, the consequence is that a campaign's performance comes to be co-produced by algorithmic allocation, and not even the advertiser can separate, in the observed result, what is intensity of bond and what is treatment in distribution.

Information asymmetry about the metrics themselves adds adverse selection. Purchasable followers and engagement make the observable magnitudes on which rate-card pricing relies falsifiable at low cost, and a market that pays per follower without distinguishing real from fabricated audiences converges on the average price of a market for lemons (Akerlof, 1970), in which the honest creator is underpaid, the fraudulent one overpaid and the average quality of supply falls. The sector's screening institutions, auditing and verification tools and access to first-party data (Bishop, 2021), are the endogenous response to this selection and separate types imperfectly, so that observed dispersion also carries a component of screening quality.

Intermediation also affects dispersion, in both directions. Marketplaces and reference rate cards publish ranges by follower count and category, creating a public anchor where there was none, which compresses dispersion and pushes prices towards focal values, in the opposite direction to the absence of an anchor in section 6.1. For much of the market, especially in the middle and lower part of the tail, this per-follower rule or the contracted cost per thousand is the primary pricing mechanism, and the discussion in this paper deals mainly with the deliberate pricing of the creator who negotiates case by case, for whom the rule of thumb is a starting point. It remains to explain why the anchor does not become general, and part of the answer is strategic: the intermediary who sees both sides profits from the gap between what the advertiser pays and what the creator receives, and standardization that made prices public would compress precisely that gap. Opacity is not merely the primit-

ive state of a young market; it is in part an equilibrium sustained by those who appropriate it, and the corresponding prediction is that transparency will advance where the intermediary does not appropriate this difference and retreat where it does.

Reputational risk, finally, reappears mirrored on the demand side, since a risk-averse advertiser tends to pay a premium for low-controversy creators and to discount volatile ones, so that the same volatility of the stock that the creator prices in the floor is priced by the buyer in the ceiling. The net effect of controversy on price is therefore ambiguous: the engaged community of a controversial creator raises the willingness to pay of those seeking that audience, while the brand-safety discount reduces it, and which force dominates depends on the niche and on the advertiser's risk posture. None of this makes intermediation a waste. Since each combination of creator and brand generates a value of its own, finding the right combination is precisely the service that agencies and matchmaking platforms provide, and the margin they charge pays for a search and screening that creator and advertiser would do worse on their own, so that the net effect on allocation is ambiguous. The effect on information is less ambiguous: each layer, the agency that maximizes fees, the platform that co-produces reach, the falsifiable metric, the rate card that anchors, the gap that is defended against transparency, stands between the price and the underlying reputational value, and the final price says less and less about the stock that section 4 identified as the object of the transaction.

6.6 The same creator facing different buyers

The preceding mechanisms explain why different creators charge different prices. The inverse question, why the same creator charges such different amounts to different buyers, is answered by a combination of factors that have already appeared separately throughout the paper.

The first is the ability to pay. Since there is no public price and each deal is made to measure, the creator, and even more so the agency, adjusts the price to what the buyer seems able to pay, a practice of price discrimination that the market's opacity makes possible and that the impossibility of resale protects, since what is sold to one buyer cannot be passed on to another. The second is the specific risk of the association, through equation (5), which varies with the sector, the track record and the public exposure of the buyer, so that a company embroiled in controversy pays a premium that another does not. The third is the credential: association with certain buyers enhances the creator's image and lowers their floor, through the negative premium and the future portfolio gain, and, when the buyer is sought after, shifts bargaining power towards the buyer, as section 5.5 describes.

The fourth is the degree of control the buyer demands. Contracts that fix the script, the vocabulary and rounds of approval strip the creator of the voice of their own that sustains credibility, and this costs performance: in the contracts analysed by Hofstetter et al. (2024), pieces made under less restrictive rules generated considerably more clicks than those made under the standard contract. A creator who anticipates this effect charges more to those who control more, because the rigid piece erodes the stock more and yields less for the brand itself. The fifth is the use the buyer will make of the content, discussed in section 4.4: boosting, image licensing, duration and exclusivity are additional cessions and add to the price. The sixth is timing. Since each creator's advertising slots are limited, by production capacity and by erosion, each slot costs the best offer it excludes, and this cost rises in periods when many advertisers compete for the same slots, such as the major retail dates, and falls in periods of low demand.

The relationship between the parties also matters. A repeat buyer who pays on time, approves quickly and is already known to the creator's audience lowers transaction costs and risk, and usually pays less; a new, slow or poorly regarded buyer pays more. Repetition has a limit, however, because always endorsing the same brand weakens the signal of recognition that a variety of partners conveys to the audience (Li et al., 2026). Combined, these factors explain why the price of the same piece, from the same creator, can range from zero, for an organ-

ization whose association is a credential, to a reduced amount, for a cause with which the creator has affinity but which adds no prestige, to an amount several times higher, for a buyer with a large budget who demands broad control and use and whose association carries some risk to the image.

SECTION 7

Propositions



The reasoning of the previous sections yields propositions on how this market works. Each states what the framework predicts and the mechanism that supports it. Seven summarize the main ones.

The first proposition states that price is determined by the accumulated reputational stock, not by the effort of producing the piece, because, by section 5.1, the part that pays for the labour of the piece tends to be small and the part that pays for access to reputation tends to dominate. Across creators, audience size, depth of engagement and account age should explain most of the variation in price, and production effort little of it, so that two creators making the same effort may charge very different amounts.

The second proposition states that the relationship between the share of sponsored content and the audience's response to paid pieces is not linear, and that erosion is greater for creators in transition, with an intermediate share of advertising, than for those who advertise little or a lot, as Li et al. (2026) found. It follows that creators tend to concentrate in two profiles, the one who monetizes little and charges a lot and the professional endorser, and that those with the largest stocks, with more to lose, tend to operate with less advertising and a higher price per piece.

The third proposition states that price grows with the gross mass of reputation exposed, not with the proportion of the holding consumed, since by equation (4) a creator with greater reach exposes a larger absolute mass in each piece, even if it is a smaller fraction of their holding. It follows, against the intuition that the large creator risks proportionally more, that the fee per person reached does not fall with the creator's size to the extent it would if what counted were the fraction of the holding.

The fourth proposition states that the risk premium grows both with the exposed mass and with the uncertainty of the outcome, not only with its average value, through the two parts of equation (5), and that it grows more than proportionally with mass, because the reputational shock is common to all of it. The less obvious consequence is that an association with an uncertain effect may cost more than one with an unfavourable but predictable effect, whenever the price of uncertainty exceeds the difference in average effect; that the frequency of refusal increases with the ratio between potential loss and gain and also with the creator's size, because the premium per contact grows with mass and, beyond a certain size, exceeds any willingness to pay; and that demand for protective contractual clauses should grow with size.

The fifth proposition is the counterpart of the risk premium when the association enhances the image, and states that price is decreasing in the expected reputational gain and increasing in the threat, holding delivery capacity constant, since by equations (5) and (6) a positive effect raises the floor and a negative one lowers it, possibly to zero or below. The prediction is that, between two associations of equal delivery, the one that enhances the image will be priced below the one that threatens it, possibly reaching gratuity or payment by the creator, the extreme case in which the creator is paid in reputation rather than in money.

The sixth proposition explains part of the dispersion and states that, holding reach and engagement constant, the price per unit of reach grows with the narrowness of the niche, because the narrow-niche creator has few competitors able to replace them, and whoever has fewer substitutes can charge more. The prediction separates two explanations that are confused on the surface: the narrow-niche creator charges more not because their audience is richer, which would be value delivered, but because they have fewer substitutes, which is market power.

The seventh proposition explains the other part of the dispersion and states that it is greater than that of assets with a defined replacement cost and grows with the inimitability of the persona, because, by section 6.1, the absence of a replacement cost and of a secondary market forces price to be set as a reservation price under uncertainty, and reservations set under different beliefs diverge widely. The prediction is that dispersion among creators with similar fundamentals will exceed that of markets in which measured performance serves as a reference, such as that of athletes, and will grow with the uniqueness of the persona, and that prices will cluster at focal values, such as round numbers and cost-per-thousand rate cards.

The extensions in sections 4.4, 5.5 and 6.5 add eight propositions. Creators with agencies tend to accept more risky associations, to charge closer to the ceiling and to make fewer free or cheap stock-building associations, because the agency does not bear the erosion of the creator's reputation. Sponsored content tends to obtain less engagement than the same creator's organic content, with a gap that is larger the more averse to advertising the audience is. Contracts with image licensing or brand boosting charge for these uses separately, in proportion to the breadth and duration of the cession. Sectors with higher legal risk, such as health, finance and betting, have higher prices and refusal rates than image risk alone would explain. Creators with verifiable metrics obtain a higher price per follower than those without, and the spread of auditing tools reduces dispersion. Creators with their own product charge more and refuse more, because the reputation they would cede can sustain their own brand. There are refusals and premiums motivated not by the audience's reaction but by how future buyers will read the association, which also explains the frequent demand for confidentiality about amounts and contracts. And, when the client's shares are publicly traded, the fee tends to grow with the gain in market value that the announcement of the contract produces, because this gain measures the part of the surplus that stays with the advertiser.

The mechanisms of sections 5.5 and 6 add four predictions. Within each niche, price should grow more than proportionally with size at the top, with a distance between the leader and the second greater than the difference in audience between them would justify. Across niches of similar size, prices should be higher where there are few creators and buyers of high value per customer. For the same creator, price should grow with the degree of control the contract imposes on the content, with the breadth of use and with the seasonality of demand, and fall with the recurrence of the relationship. And organizations whose association confers prestige should obtain lower prices, down to gratuity, than organizations with a similar cause and less recognition.

The framework mainly describes the deliberate negotiation of those who have a stock to protect. At the base of the market, where most creators are, payment is often in product or in amounts close to zero, the floor is low because there is little stock at stake, the ceiling is low because the audience is small, and price is set more by convention than by negotiation, as section 6.5 describes. The propositions hold there too, but their mechanisms operate with less slack.

SECTION 8

Implications for pricing



The framework has direct consequences for those who set, negotiate or assess a price in this market, and they do not depend on any estimate: they follow from the identification of the object of the transaction and from the floor–ceiling structure.

The first is that production cost is the wrong question. Assessing a proposal by what it costs to film and edit the piece measures only the part that pays for the labour of the piece, small by construction, and concluding that the price is abusive because it lies far above it confuses the support with the object. The relevant question is how much reputation the piece exposes, at what risk, and what that is worth to the buyer.

The second is that price per follower measures extension and ignores intensity. Rate cards that price by number of followers treat as equal creators with the same base and very different bonds, when the exposed mass, by equation (4), is the product of the two. The signs of intensity lie in magnitudes the rate card does not use: depth of engagement, the age and coherence of the account, the gap between the performance of paid and organic content. A low price per follower may be expensive, and a high one cheap.

The third concerns associations that enhance the creator's image, and is of particular interest to public-interest causes and organizations. By equation (5), the risk premium can be negative and the floor can fall to zero or below, so that a low or zero price, in these cases, is neither generosity nor undervaluing of work: it is the correct pricing of a reputational gain. The discount, however, has conditions. It depends on the association being read as enhancing by the audience, and not only by the organization proposing it. It is eroded by uncertainty, so that contested causes or organizations with no track record, of uncertain effect, obtain a smaller discount or pay a premium. And it does not eliminate the costs of labour, capacity and precedent that make up the floor, which makes gratuity unsustainable as a rule: expecting it routinely is asking the creator to cede mass without the cost of replacing it being covered.

The fourth is that refusal is not always a bargaining position. When the risk premium exceeds any willingness to pay, or when refusal is out of conviction, raising the offer does not change the answer, and insisting on price shows the creator that the buyer has not understood what they are buying. By section 5.4, refusal is the most frequent rational response to high-risk associations, especially among creators with the largest stocks.

The fifth concerns the creator. The dynamics of section 5.2 do not provide a number, but they provide a criterion: the cost of a partnership includes what it takes from the stock, and the creator who sells without rationing tends towards a smaller stock and lower unit prices. The observable sign that monetization has gone too far is the widening of the engagement gap between paid and organic content. By the same reasoning, clauses that extend the cession, such as image licensing, brand boosting and exclusivity, are additional uses of the same asset and should be priced separately, and payment by performance or affiliation transfers to the creator a risk that the price must compensate.

The sixth concerns intermediaries. By section 6.5, an agency paid a share of the fee tends to push the price up and to overlook the low-price associations that build the stock, because a share of zero is zero. For those seeking precisely this kind of association, it tends to be viable only through channels that are not paid a share of the price, whether direct contact with the creator or intermediation with another form of remuneration. And in any case, the price that emerges after passing through agency, media agency and platform says little about the underlying reputational value and should not be read as a signal of the creator's quality.

The seventh concerns the buyer. Before negotiating, it is worth knowing whether one is buying reach or credibility. Those who need only reach pay dearly when they hire the leader of a niche, whose price includes the position, and can obtain an equivalent result by combining smaller creators; those who need credibility with a specific audience find that the alternatives are few and that the price at the top reflects that scarcity. And the buyer can lower the price without reducing what they obtain, by offering the creator what lowers their floor: freedom of voice, restricted use of the content, predictable deadlines, a continuing relationship and, where applicable, the prestige the association confers.

These implications do not depend on the values of the parameters, which the paper does not estimate. They depend only on the form of the argument.

SECTION 9

Concluding remarks



Price formation in the influence market is organized around a scarce factor and an accumulated asset. The scarce factor the transaction allocates is attention, rival and finite, while content, non-rival and with a marginal cost close to zero, is the instrument for capturing it, with free provision working as a technology of accumulation. The object actually ceded in each association is not the content, which remains with the creator, nor attention, which the audience spends, but a family of alienable reputational stocks of the persona, credibility, affect and legitimacy, unified by the structure of an exhaustible and transferable capital. Price pays mainly for access to this asset, not for the labour of producing the piece, which explains the gap between price and production cost. The magnitude that rent measures is the absolute mass of reputational capital spent, the product of intensity and extension, not the fraction of the holding consumed. The asset tends to erode with selling and to renew itself with free provision, depreciating also through disuse, which points to an intermediate rate of monetization. Each association incorporates a bidirectional risk premium on the expected change in the asset, more than proportional to the exposed mass, and price dispersion results from the lack of a valuation reference, endogenous segmentation, pair-specific complementarity and the coordination rent of the focal position. The realized price is the rent bargained between the opportunity cost plus the risk premium and the willingness to pay, itself increasing in the mass delivered, with the split determined by bargaining power. Dispersion also has a dimension that everyday observation of the market confirms: price is formed mainly within each niche, grows faster than size at the top of each one and varies, for the same creator, according to who is buying.

Section 3.1 separated rent from labour, and this separation needs to be qualified. At the individual level the separation holds: the price of a cession does not pay for the creator's past labour but for the present scarcity of the holding. At the market level, the two meet again. Entry into the sector is free, rewards have a tournament structure, with a few winners capturing most of the rent, and the outcome is unpredictable even among equivalent talents, so that the cohort of aspirants, numerous and largely unpaid, enters until the expected return from trying equals its opportunity cost. Under this entry condition, the aggregate rent of those who win tends to equal, in expectation, the opportunity cost of the unpaid labour of all who tried: what advertisers as a whole pay for is not the past labour of each winner but the entire lottery. The thesis that free content would be amortized in the price paid, untenable at the level of the individual creator, thus re-emerges in the aggregate as an entry equilibrium condition. This does not make the aspirants' labour the source of the value the winners receive, which comes out of advertisers' sales spending, as section 5.5 showed. What the cohort's unpaid labour does is feed the competition from which the few positions able to charge rent emerge. Part of individual rent, moreover, is never appropriated: defending the focal position of section 6.4 requires continuous reinvestment in free content of increasing cost, a positional race that dissipates in production what bargaining delivered, so that observed profit understates rent, and the platform, which arbitrates the tournament and charges for the visibility that decides it, captures surplus by keeping the lottery attractive.

The analysis is deductive and complete in its object: it identifies what is sold, explains the level and dispersion of price and derives from them implications for those who price and propositions on how this market works. It also formulates a question the framework touches without resolving, that of the distribution of rent between creator, platform and audience. The audience itself co-produces part of the value delivered to the brand and taxes paid content, which tends to obtain less engagement than the same creator's organic content,

which at once limits capture and raises the question of to whom the co-produced rent belongs. Reading the free flow as a wage in kind, the content with which the creator pays for the attention and engagement they later resell, gives this question a precise form: the division of the surplus on the audience's side comes to depend on how much the content is worth to those who consume it compared with the attention they deliver. Pricing in the influence market appears, in the end, not as a particular case of talent pricing, but as the pricing of an asset of a kind the theory of value had not isolated, a capital that giving tends to build and excessive selling tends to erode, whose supply is relatively rigid because replenishment is slow, and whose transaction is at once the cession of a portion of this capital and the assumption of a risk on what remains of it.

APPENDIX A

Notation



P : price of a sponsored association.

R : the creator's stock of reputational capital, made up of the modes of credibility, affect and legitimacy; R^* , the equilibrium stock, equation (2).

a : flow of unpaid content, which accumulates reputation.

φ : rate of erosion of the stock imposed by advertising, equation (1).

λ : rate of forgetting, the erosion from lack of renewal, equation (1).

M : size of the creator's audience base.

θ : intensity of the stock per relationship, equal to R / M , equation (3).

N_i : reach of piece i , the number of relationships exposed.

G_i : mass of reputation exposed by piece i , equal to $\theta \cdot N_i$, equation (4).

δ_j : expected reputational effect of the association with advertiser j , positive if it harms the image and negative if it enhances it.

σ_j^2 : uncertainty about this effect.

γ : degree to which the creator avoids risk.

ρ_{ij} : reputational risk premium of the association between i and j , equation (5).

C_i : the creator's costs in the piece: production, coherence, capacity, precedent and portfolio.

F_{ij} : floor, equal to $C_i + \rho_{ij}$, equation (6).

V_{ij} : ceiling, the value advertiser j expects to obtain, limited by its budget.

β : share of the surplus captured by the creator, equation (7).

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ABOUT INDICA

INDICA is a communications and influencer-marketing agency founded in 2024. It runs mobilization campaigns, audiovisual production and strategic social-media management, with a network of more than 250 communicators, around three axes: democracy, science and the environment. The agency's publications gather the knowledge produced in that practice.



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